Samsung E&A (028050 KS)

Earnings, orders, and shareholder return: firing on all cylinders!

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BUY (M)

Target price	W77,000 (Up)
Previous target price	W73,000
Current price (Oct 22)	W55,400
Upside potential	39%

Market cap (Wbn)	10,858
Shares outstanding	196,000,000
Avg daily T/O (2M, Wbn)	90
Avg daily volume (2M, shrs)	1,852,478
52-week high/low (won)	64,400 / 23,250
Foreign ownership (%)	38.90%
Dividend yield (%)	3.28%
Major shareholders	Samsung SDI & others

Stock performance

(%)	1M	3M	12M
Absolute	8.2	34.1	95.1
Relative	37.2	64.8	36.9
Abs (US$)	11.0	49.9	110.6

3Q26 review: OP beat our estimate and consensus by 98%

In 3Q26, Samsung E&A posted consolidated revenue of W2.91tn (+45.8% YoY) and OP of W500.6bn (+183.6% YoY, OPM 17.2%) beating our estimate of W252.5bn by 98.3% and consensus of W252.6bn by 98.2%. Reversal of power generation provisions for the Saudi Arabia Yanbu project (about W100bn), value engineering incentives, and settlement gains from projects in completion stages were reflected. Excluding one-off factors, GPM came to 13.4% for hydrocarbon, 14.0% for advanced tech, and 13.4% for new energy, with all businesses exceeding the firm's internal management targets (hydrocarbon 10%, advanced tech 12%, new energy 11%). In short, while the earnings surprise was partially driven by one-off factors, we believe it was accompanied by an improvement in recurring earnings power.

Guidance raised across the board including for orders, revenue, and OP

Samsung E&A raised its full-year guidance (orders W12tn→W19tn, revenue W10tn→W11tn, OP W800bn→W1.4tn). Most of the approximately W2tn in remaining orders expected in 4Q26 should come from group affiliates' advanced tech projects. Major hydrocarbon and new energy project awards, including the urea project in Qatar and Mexinol project in Mexico, are likely to shift into 2027. Two additional refinery projects are also expected to enter the pipeline.

Maintain BUY; revise up target price to W77,000; retain as sector top pick

We maintain BUY and revise up our target price to W77,000. We retain our target P/B of 2.43x, with the target price increase reflecting an upward revision to 12-month-forward BPS from W30,202 at the previous valuation to W31,674. Samsung E&A remains our top pick in the construction sector.

Approximately W7.5tn in orders from group affiliates secured this year should convert into sales during 4Q26–1H27, improving earnings visibility for 2027. We expect the current momentum in hydrocarbon and advanced tech to continue over the next two to three years. As a special shareholder return measure, the company announced a W780bn share buyback from Oct 23 to Jan 22. Of this, W690bn, equivalent to approximately 7.4% of outstanding shares, will be canceled, while the remaining W90bn will be used for employee compensation.

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Sales	2,911	45.8	11.5	2,770	5.1
OP	501	183.6	83.3	252	98.6
Pre-tax net profit	535	186.3	117.9	270	98.0
Net profit, CI	218	53.8	20.4	207	5.5
OPM (%)	17.2	+8.4 %pt	+6.7 %pt	9.1	+8.1 %pt
NPM (%)	7.5	+0.4 %pt	+0.6 %pt	7.5	0

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	9,967	9,029	11,154	14,046
OP	972	792	1,353	1,374
Net profit, CI	757	617	802	1,065
P/E (x)	6.0	7.3	13.5	10.2
P/B (x)	1.1	1.0	2.0	1.7
EV/EBITDA (x)	1.5	1.8	4.9	4.2
ROE (%)	19.6	13.8	15.7	18.0

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Samsung E&A: earnings forecast											(Wbn)
	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E	2027E
Sales	**2,098.0**	**2,178.0**	**1,995.6**	**2,757.2**	**2,267.4**	**2,609.3**	**2,910.5**	**3,366.4**	**9,028.8**	**11,153.6**	**14,045.9**
YoY (%)	-12.0%	-18.9%	-13.9%	6.9%	8.1%	19.8%	45.8%	22.1%	-9.4%	23.5%	25.9%
Hydrocarbon	1,091.3	1,305.2	1,266.0	1,488.8	1,129.9	1,073.2	1,049.0	1,186.3	5,151.3	4,438.4	5,141.7
Advanced tech	768.9	589.4	402.4	770.5	574.2	838.0	1,070.5	1,349.2	2,531.2	3,831.9	5,823.8
New energy	237.8	283.4	327.2	497.9	563.3	698.1	791.0	830.8	1,346.3	2,883.2	3,080.4
Gross profit	**294.0**	**314.1**	**308.7**	**417.1**	**343.8**	**412.3**	**625.1**	**572.6**	**1,333.9**	**1,953.8**	**2,127.8**
YoY (%)	-12.7%	-20.7%	-7.5%	-5.7%	16.9%	31.3%	102.5%	37.3%	-11.6%	46.5%	8.9%
Hydrocarbon	131.8	179.7	184.3	243.5	180.9	159.8	274.5	213.4	739.3	828.6	766.1
Advanced tech	117.2	72.5	39.5	125.2	79.7	144.4	181.7	216.3	354.4	622.1	902.7
New energy	45.0	61.9	84.9	48.4	83.2	108.1	168.9	142.9	240.2	503.1	459.0
OP	**157.3**	**180.8**	**176.5**	**277.4**	**188.2**	**273.1**	**500.6**	**391.3**	**792.1**	**1,353.2**	**1,373.7**
YoY (%)	-24.9%	-31.1%	-13.5%	-6.2%	19.6%	51.0%	183.6%	41.0%	-18.5%	70.8%	-7.0%
Pretax profit	**204.6**	**203.4**	**187.0**	**235.4**	**208.8**	**245.7**	**298.7**	**327.0**	**830.4**	**1,080.2**	**1,417.2**
YoY (%)	-6.8%	-30.6%	-15.0%	37.4%	2.0%	20.8%	59.7%	38.9%	-8.1%	30.1%	31.2%
Net profit, CI	**150.6**	**140.7**	**141.9**	**184.3**	**155.6**	**181.3**	**218.2**	**247.3**	**617.5**	**802.3**	**1,064.8**
YoY (%)	-7.0%	-55.4%	-13.3%	59.0%	3.3%	28.9%	53.8%	34.1%	-18.4%	29.9%	32.7%
Margin											
GPM	**14.0%**	**14.4%**	**15.5%**	**15.1%**	**15.2%**	**15.8%**	**21.5%**	**17.0%**	**14.8%**	**17.5%**	**15.1%**
Hydrocarbon	12.1%	13.8%	14.6%	16.4%	16.0%	14.9%	26.2%	18.0%	14.4%	18.7%	14.9%
Advanced tech	15.2%	12.3%	9.8%	16.2%	13.9%	17.2%	17.0%	16.0%	14.0%	16.2%	15.5%
New energy	18.9%	21.8%	25.9%	9.7%	14.8%	15.5%	21.4%	17.2%	17.8%	17.5%	14.9%
OPM	**7.5%**	**8.3%**	**8.8%**	**10.1%**	**8.3%**	**10.5%**	**17.2%**	**11.6%**	**8.8%**	**12.1%**	**9.8%**
Pretax margin	9.8%	9.3%	9.4%	8.5%	9.2%	9.4%	10.3%	9.7%	9.2%	9.7%	10.1%
NPM, CI	**7.2%**	**6.5%**	**7.1%**	**6.7%**	**6.9%**	**6.9%**	**7.5%**	**7.3%**	**6.8%**	**7.2%**	**7.6%**

Note: CI = controlling interest
Source: company data, Yuanta Securities

3Q26 OP beat our estimate and consensus by 98% (Wbn)

	3Q26P	3Q25	(% YoY)	2Q26	(% QoQ)	Consensus	Diff (%)	Our estimate	Diff (%)
Sales	2,910.5	1,995.6	45.8	2,609.3	11.5	2,736.6	6.4	2,795.4	4.1
OP	500.6	176.5	183.6	273.1	83.3	252.6	98.2	252.5	98.3
Pretax profit	298.7	187.0	59.7	245.7	21.6	280.3	6.6	287.2	4.0
Net profit, CI	218.2	141.9	53.8	181.3	20.4	209.4	4.2	217.5	0.3
OPM (%)	17.2%	8.8%		10.5%		9.2%		9.0%	
Pretax margin (%)	10.3%	9.4%		9.4%		10.2%		10.3%	
NPM, CI (%)	7.5%	7.1%		6.9%		7.7%		7.8%	

Note: CI = controlling interest. Source: company data, Yuanta Securities

Samsung E&A earnings estimate comparison: Yuanta Securities vs consensus (Wbn)

	2026E			2027E		
	Yuanta	Consensus	Difference (%)	Yuanta	Consensus	Difference (%)
Sales	**11,153.6**	10,660.6	4.6	**14,045.9**	12,847.7	9.3
OP	**1,353.2**	994.4	36.1	**1,373.7**	1,203.3	14.2
Pretax profit	**1,080.2**	1,010.5	6.9	**1,417.2**	1,263.5	12.2
Net profit, CI	**802.3**	745.5	7.6	**1,064.8**	931.5	14.3
OPM (%)	**12.1%**	9.3%		**9.8%**	9.4%	
Pretax margin (%)	**9.7%**	9.5%		**10.1%**	9.8%	
NPM, CI (%)	**7.2%**	7.0%		**7.6%**	7.3%	

Note: CI = controlling interest, Source: FnGuide Quantiwise, Yuanta Securities

Samsung E&A: earnings estimate revision (Wbn)

	Old			New			Difference (%)		
	3Q26E	2026E	2027E	3Q26P	2026E	2027E	3Q26P	2026E	2027E
Sales	2,795.4	10,787.3	13,122.5	2,910.5	11,153.6	14,045.9	4.1%	3.4%	7.0%
OP	252.5	1,017.1	1,219.5	500.6	1,353.2	1,373.7	98.3%	45.3%	12.7%
OPM	9.0%	9.4%	9.3%	17.2%	12.1%	9.8%	8.2%p	3.8%p	0.5%p
Pretax profit	287.2	980.3	1,257.1	298.7	1,080.2	1,417.2	4.0%	10.2%	12.7%
Net profit, CI	217.5	734.7	944.5	218.2	802.3	1,064.8	0.3%	9.2%	12.7%

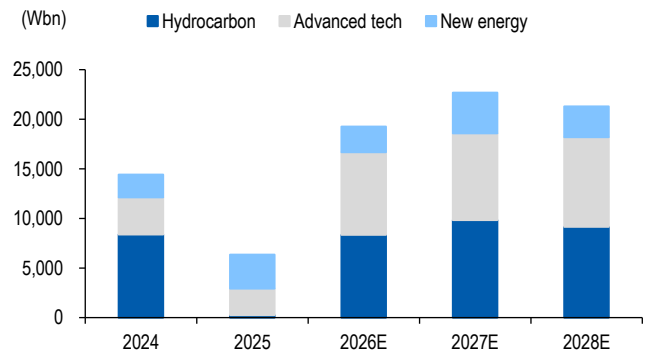
Note: CI = controlling interest, Source: Yuanta Securities

Samsung E&A: target price calculation

	Value	Note
(A) Target P/B (x)	**2.4x**	Applied top 10% of 12-mo-fwd P/B range from Jun 10 to Jul 8, 2021, when the stock simultaneously reflected Samsung Electronics' semiconductor capex expansion and overseas EPC order momentum
(B) Samsung E&A target BPS	**W31,674**	12-month-forward BPS
Target price (C = A x B)	**W77,000**	Rounded to the nearest hundred
Current price	W55,400	As of Oct 22, 2026 close price
Upside	**39%**	

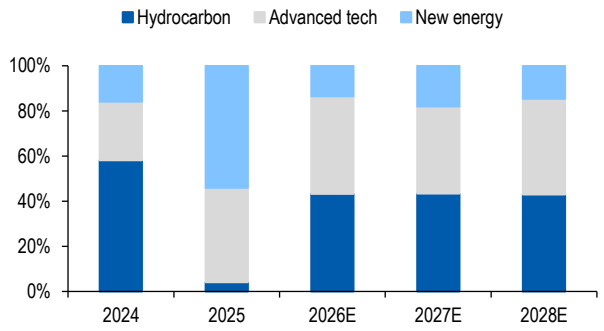
Source: Yuanta Securities

Samsung E&A: new orders by business



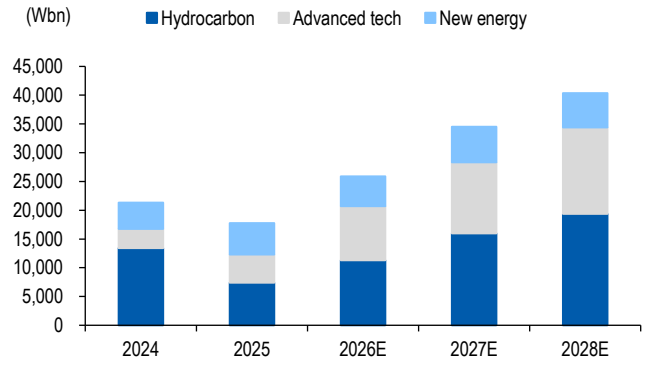
Source: company data, Yuanta Securities

Samsung E&A: new order mix by business



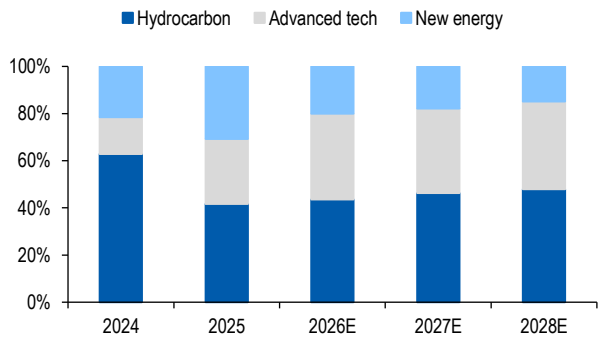
Source: company data, Yuanta Securities

Samsung E&A: order backlog by business



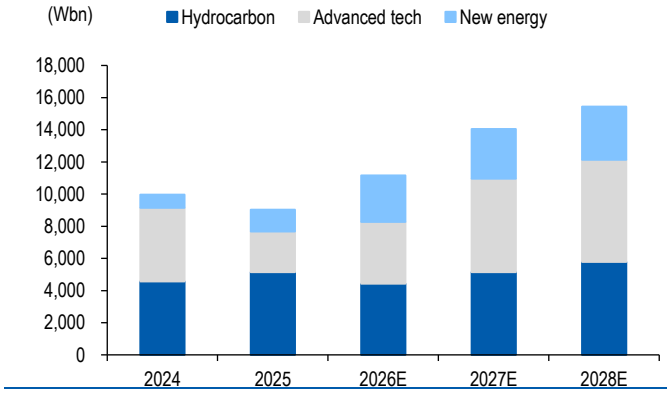
Source: company data, Yuanta Securities

Samsung E&A: order backlog mix by business



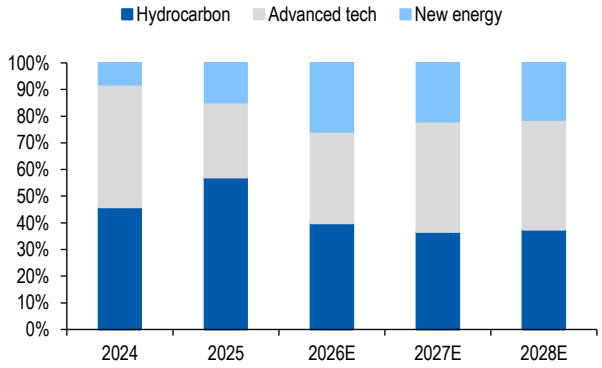
Source: company data, Yuanta Securities

Samsung E&A: sales by business



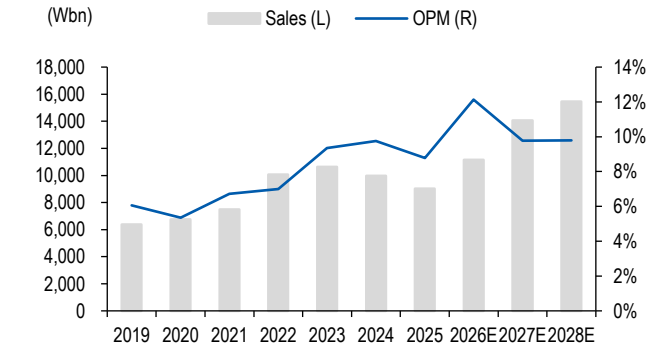
Source: company data, Yuanta Securities

Samsung E&A: sales mix by business



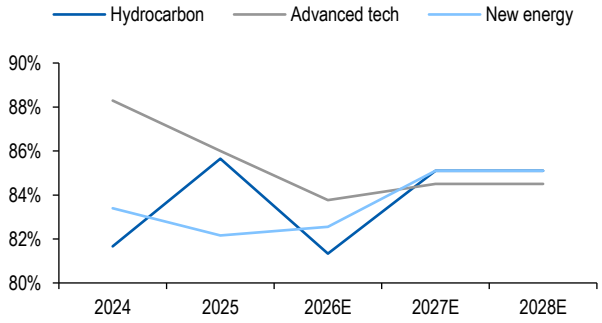
Source: company data, Yuanta Securities

Samsung E&A: sales and operating margin



Source: company data, Yuanta Securities

Samsung E&A: cost ratio by business



Source: company data, Yuanta Securities

Samsung E&A (028050 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**9,967**	**9,029**	**11,154**	**14,046**	**15,447**
Cost of sales	8,457	7,695	9,200	11,918	13,107
Gross profit	1,509	1,334	1,954	2,128	2,340
SG&A	538	542	601	754	826
Operating profit	**972**	**792**	**1,353**	**1,374**	**1,514**
EBITDA	1,041	874	1,441	1,453	1,587
Non-operating profit	-68	38	-36	43	89
Forex gains	84	-44	22	0	0
Net interest income	44	105	104	142	179
Equity-method gains	7	19	1	22	23
Other	-203	-41	-163	-120	-113
Net prof before income tax	904	830	1,317	1,417	1,603
Income tax	265	182	289	315	353
Net profit from continuing ops	639	648	1,028	1,103	1,250
Net profit from discontinued ops	0	0	0	0	0
Net profit	639	648	819	1,103	1,250
NP for controlling interest	**757**	**617**	**802**	**1,065**	**1,204**
Total comprehensive income	598	698	903	1,103	1,250
Total comprehensive income, CI	759	683	899	1,105	1,252

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**7,942**	**7,659**	**9,666**	**11,817**	**13,674**
Cash & cash equivalents	2,596	862	1,367	1,986	2,910
Accounts receivables & other	3,809	3,301	4,031	4,774	5,203
Inventory	0	0	0	0	0
Non-current assets	2,071	2,380	2,417	2,469	2,510
Tangible assets	443	507	529	544	564
Investment in affiliates	223	271	330	391	430
Other investment assets	97	113	91	93	95
Total assets	**10,013**	**10,040**	**12,083**	**14,285**	**16,184**
Current liabilities	5,871	5,259	6,492	7,677	8,435
Accounts payable & other	4,636	4,383	5,351	6,339	6,971
ST financial liabilities	104	0	72	72	72
Liquid LT liabilities	0	0	0	0	0
Non-current liabilities	246	335	389	459	504
LT financial liabilities	0	0	0	0	0
Debentures	0	0	0	0	0
Total liabilities	**6,118**	**5,593**	**6,882**	**8,136**	**8,939**
Equity, controlling interest	4,232	4,741	5,472	6,383	7,432
Paid-in capital	980	980	980	980	980
Capital surplus	-22	-67	-67	-67	-67
Retained earnings	3,187	3,675	4,314	5,224	6,272
Equity, non-controlling interest	-336	-295	-271	-233	-187
Total equity	**3,896**	**4,446**	**5,202**	**6,150**	**7,245**
Net debt	**-2,661**	**-2,660**	**-3,510**	**-4,540**	**-5,727**
Total debt	466	325	449	517	560

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**1,636**	**254**	**789**	**1,099**	**1,396**
Net profit	639	648	819	1,103	1,250
Depreciation & amortization	43	47	51	52	54
Forex gains	-126	47	-10	0	0
Affiliate investment gains	-7	-19	-1	-22	-23
Increase in net working cap	730	-517	-413	-396	-241
Other	356	48	344	362	355
Investing cash flow	**-50**	**-1,709**	**-590**	**-609**	**-421**
Investment	-19	-56	-48	-64	-41
Increase in tangible assets	-43	-53	-61	-67	-74
Decrease in tangible assets	1	2	1	0	0
Other	11	-1,602	-482	-478	-306
Financing cash flow	**-30**	**-264**	**-114**	**-87**	**-112**
ST financial liabilities	315	-148	138	68	43
Debenture/LT financial liabilities	3	7	-14	0	0
Equity	0	-45	0	0	0
Cash dividend	0	-129	-169	-155	-155
Other cash flow	-348	52	-68	0	0
Consolidation adj and other	124	-15	420	216	61
Increase in cash & equivalents	**1,681**	**-1,734**	**505**	**619**	**924**
Beginning cash & equivalents	915	2,596	862	1,367	1,986
Ending cash & equivalents	2,596	862	1,367	1,986	2,910
NOPLAT	972	792	**1,353**	**1,374**	**1,514**
FCF	**1,593**	**201**	**728**	**1,032**	**1,322**

Valuation

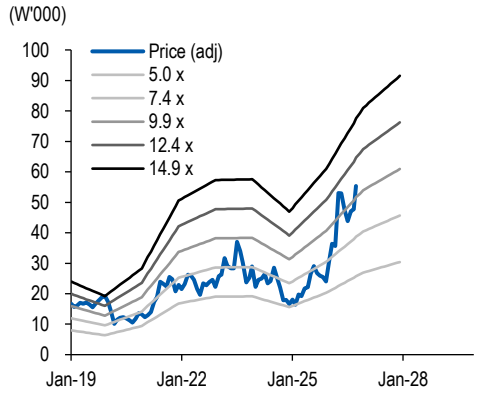
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	3,862	3,150	4,094	5,433	6,140
BPS (won)	21,591	24,187	27,921	32,565	37,917
EBITDA/shr (won)	5,311	4,460	7,350	7,413	8,097
SPS (won)	50,850	46,065	56,906	71,663	78,810
DPS (won)	660	790	790	790	790
P/E (x)	**6.0**	**7.3**	**13.5**	**10.2**	**9.0**
P/B (x)	**1.1**	**1.0**	**2.0**	**1.7**	**1.5**
EV/EBITDA (x)	**1.5**	**1.8**	**4.9**	**4.2**	**3.1**
P/S (x)	**0.5**	**0.5**	**1.0**	**0.8**	**0.7**

Key financial data

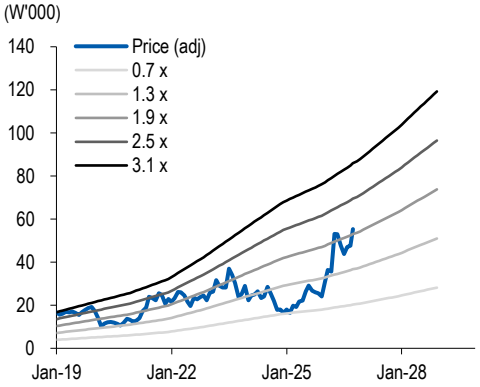
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**-6.2**	**-9.4**	**23.5**	**25.9**	**10.0**
Operating profit (%YoY)	**-2.2**	**-18.5**	**70.8**	**1.5**	**10.2**
Net profit, CI (%YoY)	**0.4**	**-18.4**	**29.9**	**32.7**	**13.0**
Gross margin (%)	15.1	14.8	17.5	15.1	15.1
Operating margin (%)	**9.7**	**8.8**	**12.1**	**9.8**	**9.8**
Net margin, CI (%)	7.6	6.8	7.2	7.6	7.8
EBITDA margin (%)	10.4	9.7	12.9	10.3	10.3
ROIC (%)	171.3	466.8	344.7	455.4	762.6
ROA (%)	8.5	6.2	7.3	8.1	7.9
ROE (%)	**19.6**	**13.8**	**15.7**	**18.0**	**17.4**
Debt-to-equity (%)	157.0	125.8	132.3	132.3	123.4
Net debt-to-equity (%)	-62.9	-56.1	-64.1	-71.1	-77.1
OP/financing cost (x)	68.9	479.6	276.3	181.4	179.3

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

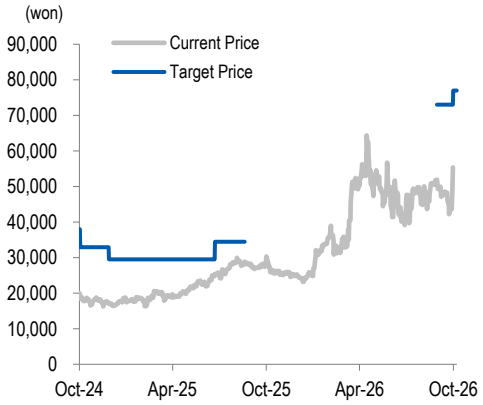
P/E band chart



P/B band chart



Samsung E&A (028050 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/23	BUY	77,000	1 yr		
2026/09/21	BUY	73,000	1 yr	-35.11	-24.11
2026/05/19	Not Rated Analyst changed	-	1 yr		
2025/07/15	BUY	34,500	1 yr	-21.08	-13.04
2024/12/20	BUY	29,500	1 yr	-32.85	-14.07
2024/10/25	BUY	33,000	1 yr	-45.99	-42.79
2024/06/25	BUY	38,000	1 yr	-35.79	-24.87

Note: Difference = (actual price* - target price) / target price x 100

* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested

Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 23, 2026

Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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